

Hike Tension

- We expect the FOMC to keep rates unchanged at the **July meeting**, with two hawkish dissents in favor of a hike.
- We expect Chair Warsh to emphasize inflation-fighting credibility while stopping short of signaling a threshold for rate hikes. He is also likely to reiterate several dovish talking points.
- Next week's data are likely reinforce the case for a hold. We expect June core PCE inflation **slowed sharply to 0.175% m-o-m**, consistent with progress toward the Fed's 2% target. Q2 ECI likely moderated, suggesting easing wage pressures.
- The Trump administration **announced new tariffs** this week. The **overall impact** of the new announcements looks modestly better given a wider set of exemptions.

Research Analysts

North America Economics

Aichi Amemiya - NSI

aichi.amemiya@nomura.com
+1 212 667 9347

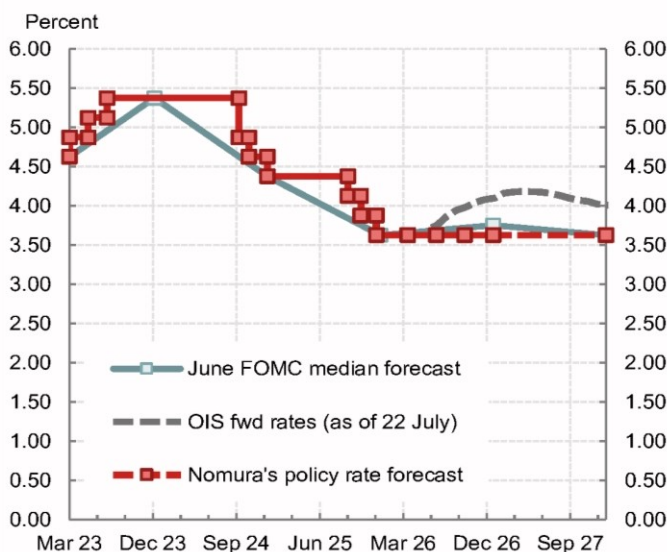
Jeremy Schwartz - NSI

jeremy.schwartz@nomura.com
+1 212 667 9637

Ruchir Sharma - NSI

ruchir.sharma@nomura.com
+1 212 667 9186

Fig. 1: We expect the FOMC to keep rates unchanged at the July meeting, with two hawkish dissents in favor of a hike



Source: FRB, Bloomberg, Nomura

Fig. 2: We continue to expect the FOMC to remain on hold indefinitely

Nomura's monetary policy outlook

Tool	Key assumptions
Policy rate	
2026	No rate cuts, EOP 3.625%
2027	No rate cuts, EOP 3.625%
Terminal	3.50 - 3.75%
Balance sheet policy	
Size	Reserve management purchases of \$10bn/month. The NY Fed is actively managing reserve management purchases in response to seasonal liquidity demand and market conditions. We expect balance sheet growth to average \$20bn per month in the medium term.
Composition	MBS rundown to continue, with proceeds reinvested into Treasuries. Both reinvestments and eventual reserve management purchases will be skewed towards Treasury bills.

Source: FRB, Nomura

We expect the FOMC to remain on hold

We expect the **FOMC** to leave the policy rate unchanged at 3.625% in July (**Fig. 1 & 2**), with no substantive changes to the post-meeting statement.

Market pricing for a July hike has risen recently, but we think this largely reflects limited forward guidance and uncertainty around the Fed's reaction function rather than a meaningful change in the economic outlook.

Incoming data also support a hold. **June CPI** and **PPI** surprised to the downside, pointing to a sharp moderation in core PCE inflation. While some temporary factors likely amplified the June weakness, the broader trend remains encouraging, with inflation momentum easing (**Fig. 3**). Most wage-sensitive components have also eased recently (**Fig. 4**). Residual seasonality, the **BEA's methodological revisions**, and moderating wage pressures should contribute to further slowdown in core PCE inflation.

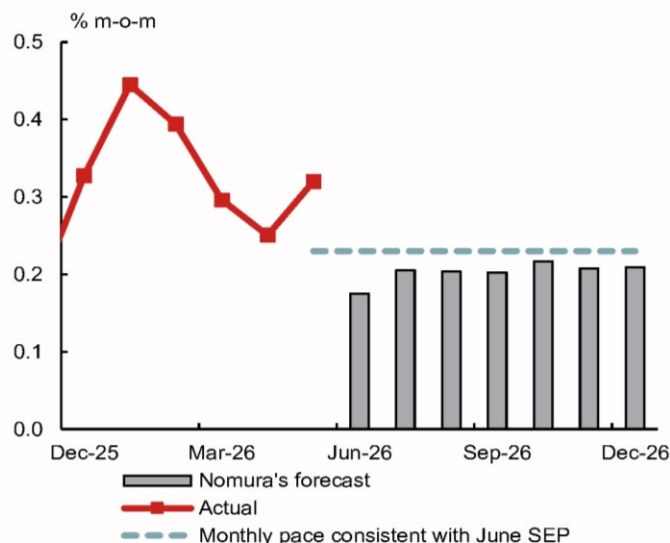
Most Fed officials also appear comfortable with a "wait-and-see" approach as they expect sequential disinflation. Speaking before the June CPI report, Governor Waller seemed to

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be cautious about inflation risks and mentioned that policy decisions should be based on incoming inflation data. We think the June CPI and PPI reports are likely to convince him to remain on hold at the July meeting.

Fig. 3: We expect core PCE inflation to undershoot the monthly pace consistent with the Fed's SEP forecast for 2026

Core PCE inflation



Source: BLS, BEA, Haver, Nomura

Fig. 4: Wage-sensitive services inflation have trended lower recently



Source: BLS, BEA, Haver, Nomura

The case for a proactive hike

Markets are pricing roughly a one-third probability for a hike in the July meeting. We remain skeptical of the case for a proactive rate hike though. A surprise hike could increase uncertainty around the Fed's reaction function and reinforce expectations of a more hawkish policy path rather than being viewed as substituting for future hikes.

Recent market volatility appear to worsen the case for surprise tightening.

Moreover, longer-term inflation expectations remain well anchored, with 5-10y breakevens around 2.2–2.3% (a level flagged by Governor Waller in April as a reassuring sign). This suggests markets are not questioning the Fed's inflation fighting credibility.

We expect two hawkish dissents

We expect Cleveland Fed President Hammack and Dallas Fed President Logan to dissent in favor of a rate hike. Both have argued that elevated inflation, resilient growth, and easier financial conditions suggest policy is not restrictive. They have also highlighted upside inflation risks while noting that a stable labor market suggests there is no tension between the Fed's dual mandate.

Another dissent from Minneapolis Fed President Kashkari is possible, but this is not our base case. Kashkari had expected one rate hike later this year as of the June FOMC meeting, which suggests his policy stance was not as hawkish as other uber hawks.

Inflation data likely to reinforce the case for patience

We expect next week's inflation data to reinforce the case for patience by highlighting easing price pressures.

We expect core PCE inflation to *slow sharply to 0.175% m-o-m in June*, consistent with an annualized pace near 2% (Fig. 5). On a y-o-y basis, core PCE likely eased to 3.3% from 3.4%. Softer than expected CPI and PPI data point to moderating supercore PCE inflation, while core goods inflation likely rebounded modestly.

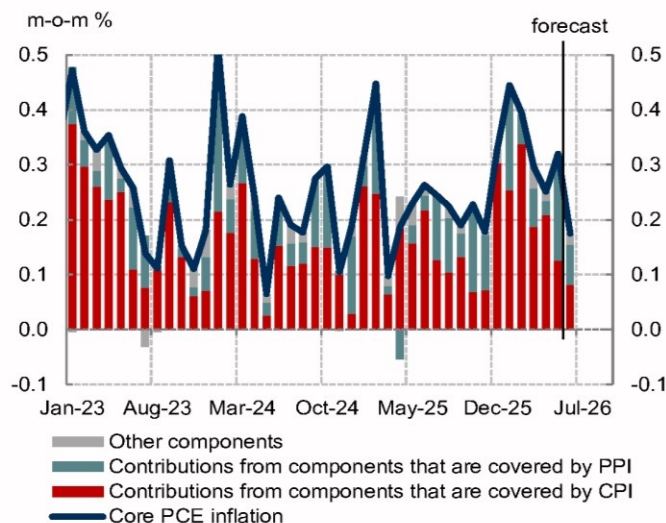
Looking ahead, easing tariff pass-through and residual seasonality should keep core PCE on a gradual disinflationary path. We continue to expect y-o-y core PCE inflation to slow to 3.2% by year-end under the current methodology (or around 3.0% after the *planned methodological revisions*). A 0.2% monthly core PCE print would represent further progress toward the Fed's inflation target and reduce the likelihood of near term hikes.

We expect the Employment Cost Index (ECI), the Fed's preferred wage growth metric,

slowed to 0.7% q-o-q from 0.9%. Private sector wages likely remained steady, while state and local government wages slowed. The benefits component also moderated following a strong uptick in Q1. Our forecast for ECI points to easing wage pressures (Fig. 6), in line with alternative wage indicators, suggesting labor-intensive services inflation are likely to continue to moderate.

Fig. 5: Core PCE inflation likely moderated sharply to 0.175% m-o-m in June

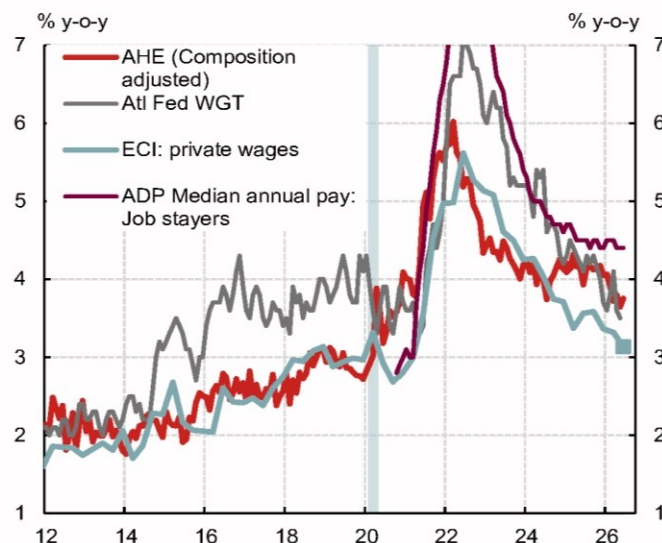
Decomposition of m-o-m core PCE inflation by data source



Source: BLS, BEA, Haver, Nomura

Fig. 6: We expect ECI growth slowed in Q2, pointing to easing wage pressures

Measures of wage growth



Note: Q2 ECI refers to Nomura's forecast

Source: Atlanta Fed, ADP, BLS, NBER, Haver, Nomura

New tariff announcements point to continuity

The *Trump administration announced new tariffs under Section 301* to replace expiring Section 122 universal 10% tariffs. A transition to Section 301 from Section 122 tariffs will likely increase the average effective tariff rate by about 1pp to 8%, broadly in line with *our expectation* (Fig. 7).

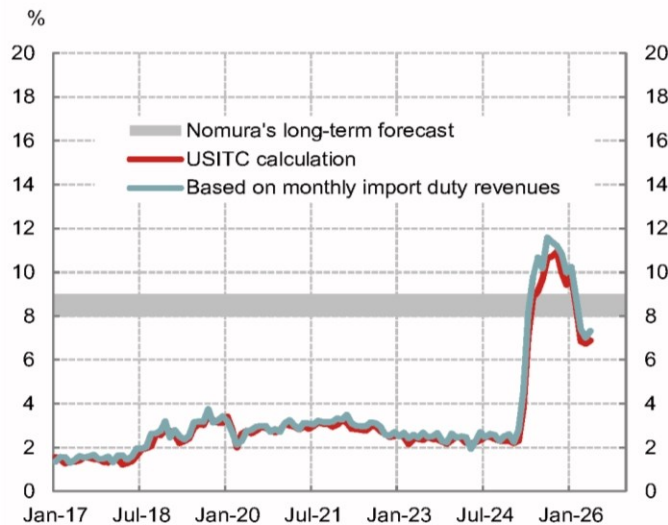
However, there are mitigating measures in the announcement. The additional impact on imports from some major trading partners will be net out the MFN duties. In addition, the general exemption product list was expanded including some consumer/food products (Fig. 8). Those modifications suggest that the Trump administration did not intend to escalate tariff policy substantially.

We continue to expect that increased focus on affordability issues and elevated inflation will likely prevent US tariff policy from escalating drastically going forward. We maintain our expectation for the terminal average effective tariff rate at the 8-9% range.

Major risks to monitor will be the ongoing USMCA negotiations as well as another Section 301 investigation on excess production capacity.

Fig. 7: New Section 301 tariffs are likely to lift the effective tariff rate by 1pp to 8% , in line with our longer-run estimate

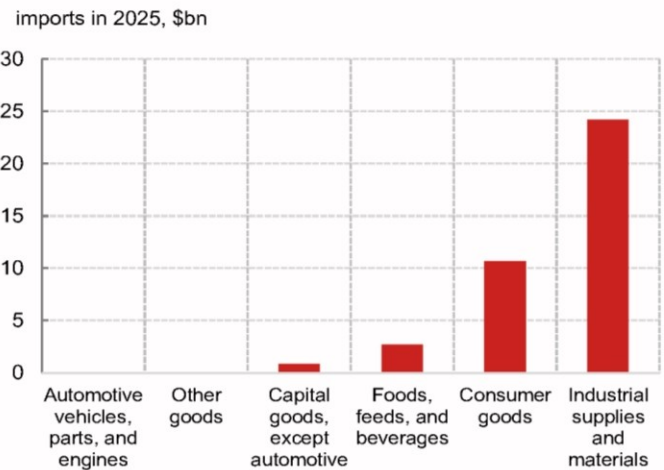
The average effective tariff rates vs. Nomura's long-term forecast



Source: US Treasury, USITC, Haver, Nomura

Fig. 8: The general tariff exemption list was expanded further

New additions to the general tariff exemption list (relative to Section 122 tariffs)



Source: The White House, USITC, Haver, Nomura

Real GDP growth likely accelerated in Q2

We expect real GDP growth accelerated to 2.5% q-o-q in Q2 from 2.1% in Q1. Real final sales to private domestic purchasers likely strengthened to 3.4% from 2.2%, driven by a rebound in personal consumption growth and robust equipment investment. While AI-related capex led business investment in early 2026, recent data suggest investment momentum is broadening. We expect residential investment likely grew in Q2 for the first time since Q4 2024, while nonresidential structures investment remained subdued. Volatile components such as government spending, net exports, and inventories were weaker than Q1 and likely weighed on headline GDP growth.

Data Preview

The week ahead

We expect the **FOMC** to keep rates unchanged at the July meeting, with two hawkish dissents in favor of a hike.

Durable goods orders (Monday): We expect durable goods orders rose 3.4% m-o-m in June following a 4.5% decline in May. Nondefense aircraft orders likely rose, as Boeing net orders increased to 113 units in June from 11 in May. Motor vehicles and parts orders likely remained strong in the month, supported by a pickup in production.

Excluding volatile transportation equipment, we expect durable goods orders growth slowed to 0.8% m-o-m from 1.4% in May. New order indices in various manufacturing surveys edged down on net and industrial production for durable goods manufacturing fell in June. We expect core capital goods shipments (nondefense capital goods excluding aircraft), an input into GDP's equipment investment, rose 1.1% m-o-m in June.

Advance goods trade balance (Tuesday): We expect the advance goods trade deficit narrowed slightly to \$104.5bn in June from \$105.9bn in May. Data from major trading partners suggest imports remained strong in the month, driven by continued strength in AI-related goods. Goods exports also likely increased strongly.

Consumer confidence (Tuesday): We expect the Conference Board Consumer Confidence Index edged lower to 90.5 in July from 91.2 in June. Resumption of hostilities in the Middle East, pickup in energy prices and volatile stock prices likely weighed on consumer sentiment. The labor market differential, a gap between the share of households reporting "jobs are plentiful" and "jobs are hard to get," likely remained stable after a sharp decline in the two prior months.

FOMC meeting (Wednesday): We expect the **July FOMC meeting** to be uneventful, with policy remaining on hold and no meaningful forward guidance from Chair Warsh's press conference. There will not be an updated SEP or dot plot at this meeting.

Warsh's rhetoric in the press conference will likely continue to focus on inflation-fighting credibility. However, we expect him to stop short of indicating his threshold for rate hikes or potential actions the Fed should take if inflation remains elevated. We expect Warsh to revisit several dovish talking points, including his belief in the disinflationary impact of AI, skepticism on the quality of official inflation data, and possibly the role of money growth in the inflation outlook.

There will likely be two hawkish dissents in favor of a rate hike, from Dallas president Logan and Cleveland president Hammack. A third dissent from Minneapolis president Kashkari is a risk.

Centrist and dovish officials signaled some possibility of future hikes in the run-up to the July blackout period, but most indicated that incremental disinflation would support the case to remain on hold. Given the slowdown in June inflation data, this suggests a solid majority of voters are comfortable with a "wait-and-see" approach.

Although markets are pricing in a decent probability of a rate hike next week, Warsh's inherent dovish bias as well as a potential risk of excessively tightening financial conditions will likely prevent him from advocating for a rate hike.

Jobless claims (Thursday): Jobless claims declined this week, continuing to highlight resilient labor markets. Note, continuing claims data scheduled for release next week refer to the July NFP survey reference week.

PCE deflator (Thursday): Based on June CPI and PPI data, we expect core PCE slowed sharply in June to 0.175% m-o-m, consistent with an annualized pace of roughly 2%. On a y-o-y basis, core PCE inflation likely decelerated to 3.3% in June from 3.4% in the previous month.

Core CPI inflation surprised to the downside, falling by 0.017% m-o-m in June, much lower than +0.208% in May, the first monthly decline since May 2020. Details of CPI and PPI data suggest supercore PCE inflation decelerated while PCE core goods inflation rebounded slightly.

Looking ahead, we expect easing tariff effects and residual seasonality to keep core PCE inflation on a gradual disinflationary path. We continue to expect y-o-y core PCE inflation to moderate to 3.2% by year-end under the current methodology (**planned**)

methodological changes could lower it further to around 3.0%). A 0.2% monthly core PCE print would represent further progress toward the Fed's inflation objective and should reduce the likelihood of rate hikes in the near term.

Personal income and spending (Thursday): We expect personal income growth slowed to 0.3% in June following a 0.7% m-o-m increase in May. Compensation of employees remained strong as private payroll income rose in the month; however, this was more than offset by other components as the one-off increase in farm proprietors' income from USDA disaster relief payments faded in the month.

We expect personal spending growth decelerated to 0.3% m-o-m in June from 0.7% in May. Retail sales slowed in the month as energy-related spending slowed. Services spending growth also likely moderated. Based on our PCE inflation estimates, we expect real spending grew 0.4% m-o-m.

GDP Q2 first estimate (Thursday): We expect real GDP growth accelerated to 2.5% q-o-q in Q2 from 2.1% in Q1. We expect real final sales to private domestic purchasers accelerated sharply to 3.4% q-o-q from 2.2% previously, primarily driven by a rebound in personal consumption growth and robust equipment investment growth. Residential investment likely grew in Q2 for the first time since Q4 2024. Volatile components (e.g., government spending, net exports and inventory investment) were weaker than Q1, and weighed on real GDP growth.

Employment cost index (Friday): We expect the Employment Cost Index, the Fed's preferred wage metric, slowed to 0.7% q-o-q (0.74%) in Q2, following a 0.9% gain in Q1. Wages growth for private employees likely edged up, but remained sideways on a rounded basis at 0.7%, while wages for state and local government employees likely slowed. For the private sector, we expect wage growth for goods producing sector picked up, led by construction industry, while wage growth for service sector industries slowed. Growth in the benefits subcomponent (which tends to increase in Q1) likely ticked down to 0.8% q-o-q following a 1.2% increase in Q1. Overall, our ECI forecast suggests wage growth is moderating gradually, in line with other measures.

University of Michigan consumer sentiment (Friday): The final print of the University of Michigan consumer sentiment likely edged lower to 54.0 from its preliminary print of 54.4. Tensions between the US and Iran escalated during the survey interview period, and energy prices rose. In addition, high frequency data from Morning Consult and SF Fed's Daily News Sentiment Index also point to worsening sentiment.

Fig. 9: Forecasts for economic indicators released during the week of 27 July

Monday 27 July		Units	Period	Prev 2	Prev 1	Last	Nomura	Consensus
8.30	Durable goods orders	% m-o-m	Jun-Pre	1.3	8.5	-4.5	3.4	1.5
8.30	Durable goods orders ex-trans	% m-o-m	Jun-Pre	1.1	1.5	1.4	0.8	0.9
13.00	2-yr note auction	\$bn					69	
13.00	5-yr note auction	\$bn					70	
Tuesday 28 July								
8.30	Advance goods trade balance	\$bn	Jun	-85.1	-82.2	-105.9	-104.5	-97.8
8.30	Wholesale inventories	% m-o-m	Jun-Pre	1.5	0.7	0.1	n.a.	n.a.
9.00	Case-Shiller composite-20	% y-o-y	May	1.0	0.9	1.1	n.a.	n.a.
9.00	Case-Shiller composite-20	% m-o-m	May	-0.1	-0.2	0.0	n.a.	n.a.
10.00	Consumer confidence	Index	Jul	93.8	90.6	91.2	90.5	92.0
13.00	7-yr note auction	\$bn					44	
Wednesday 29 July								
7.00	Mortgage applications	% w-o-w	22-May	-4.4	1.7	-2.3	n.a.	n.a.
13.00	2-yr FRN auction	\$bn					30	
14.00	FOMC meeting		Jul					
14.00	FOMC rate decision (upper bound)	%	Jul	3.75	3.75	3.75	3.75	3.75
14.00	FOMC rate decision (lower bound)	%	Jul	3.50	3.50	3.50	3.50	3.50
14.00	FOMC interest on reserves (IOR)	%	Jul	3.65	3.65	3.65	3.65	3.65
Thursday 30 July								
8.30	Initial jobless claims	000s	25-Jul	217	209	187	n.a.	n.a.
8.30	Continuing jobless claims	000s	18-Jul	1821	1798	1796	n.a.	n.a.
8.30	Personal income	% m-o-m	Jun	0.5	0.0	0.7	0.3	0.3
8.30	Personal spending	% m-o-m	Jun	0.9	0.4	0.7	0.3	0.4
8.30	PCE deflator	% m-o-m	Jun	0.7	0.4	0.4	-0.072	-0.1
8.30	PCE deflator	% y-o-y	Jun	3.5	3.8	4.1	3.700	3.6
8.30	Core PCE deflator	% m-o-m	Jun	0.3	0.3	0.3	0.175	0.1
8.30	Core PCE deflator	% y-o-y	Jun	3.3	3.3	3.4	3.321	3.3
8.30	GDP	%q-o-q ar	Q2-1st	4.4	0.5	2.1	2.5	2.3
8.30	Core PCE deflator	%q-o-q ar	Q2-1st	2.9	2.7	4.4	3.5	n.a.
Friday 31 July								
8.30	Employment cost index	%q-o-q	Q2	0.8	0.7	0.9	0.7	0.8
10.00	U of M consumer sentiment	Index	Jul-Fin	44.8	49.5	54.4	54.0	n.a.
10.00	U of M 5-10yr inflation expectations	%	Jul-Fin	3.9	3.3	3.3	n.a.	n.a.

Note: Eastern Daylight Time (EDT). All Nomura forecasts are modal.

Source: Haver, Bloomberg, Nomura

US Economic Outlook

We expect the *Fed to stay on hold indefinitely* (with risks skewed towards hikes) due to persistent price pressures, stable labor markets and waning political pressure.

Economic activity: Growth has remained robust lately, supported by easing tariff uncertainty, fiscal stimulus from the One Big Beautiful Bill Act and the lagged impact of Fed rate cuts amid easy financial conditions. *Business investment appears to be broadening beyond the AI sector*. Despite higher energy prices stemming from the Iran war, consumption has held up, partly due to higher tax refunds and strong payroll income growth. NFPs have been volatile, but an array of indicators point to stabilization and tentative signs of reacceleration in the labor market. While the recent decline in the unemployment rate was due to a one-off factor, we expect the unemployment rate to eventually edge lower to 4.1% by year-end. The US economy remains relatively insulated from *the crude oil price shock due to the Iran war*, owing to the small share of energy-goods consumption in household spending, as well as domestic energy production.

Inflation: Core inflation remains well above the Fed's 2% target, and risks appear skewed to the upside. We forecast *Q4 2026 core PCE* inflation of 3.3% y-o-y, but the *BEA's planned methodological changes to certain PCE price components* could reduce core PCE inflation by about 20bp to 3.1% y-o-y in Q4 2026. Wage growth is moderating and tariff-related price pressures are abating, but new AI-related price pressures from robust demand and supply shortages could push up goods inflation. Overall, we expect core PCE inflation to peak in coming months on lower oil prices, residual seasonality and moderating wage growth. We expect rent disinflation to continue, albeit gradually.

Policy: *We expect the Fed to remain on hold indefinitely*. Fed Chair Warsh likely remains motivated to ease, but recent elevated inflation readings and hawkish Fed speak suggest he may not be able to convince the majority to support cuts. In addition, he is likely to encourage the committee to keep policy rates steady until *recently announced task forces* make recommendations on different aspects of data and monetary policy. While near-term hikes appear unlikely, the Fed's hesitance to respond to tentative signs of inflation pressure raises the risk that it may end up "behind the curve" and need to hike quickly to re-establish credibility. The balance of risks tilts towards tightening. On tariffs, wider Section 122 exemptions, lower tariff rates and a focus on affordability suggest *limited further escalation* of US trade policy. We don't expect substantial economic stimulus from another reconciliation by Republicans before mid-terms.

Risks: Further escalation of geopolitical risks could lead to a tightening of financial conditions and a worsening of the fiscal outlook. Increased political pressures on FOMC participants could undermine the Fed's credibility and cause sharp market reactions. An AI bust could lead to material corrections in asset valuations and reduced business investment. A continued shortage of memory chips and supply-chain disruptions due to a protracted Iran war could lead to a second round

Fig. 10: United States: Details of the forecast

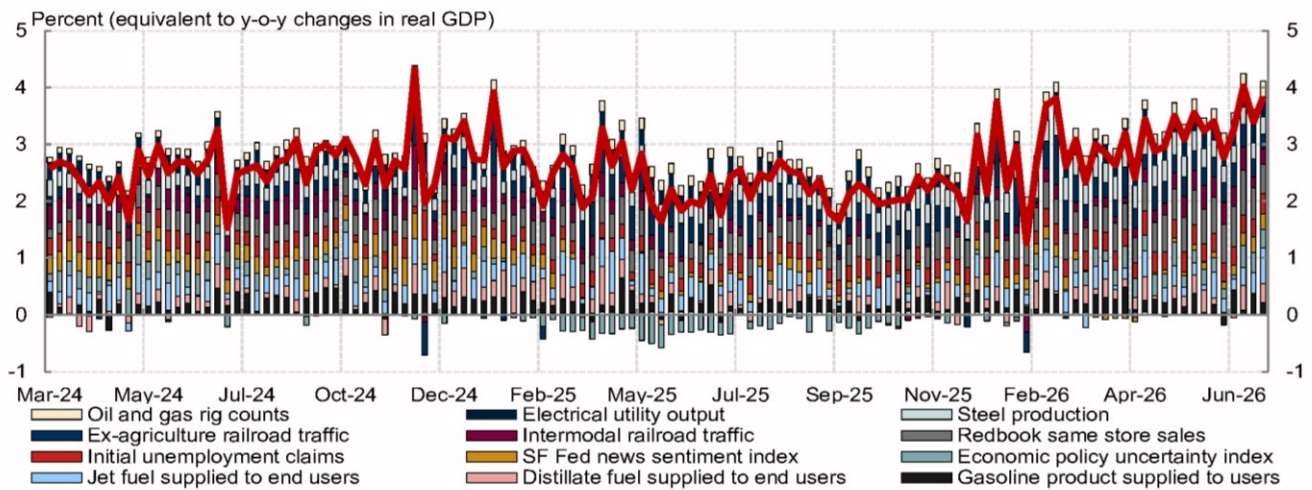
%			1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	% y-o-y			% Q4/Q4		
															2025	2026	2027	2025	2026	2027
	Q-o-Q																			
Real GDP	(%, a.r.)		-0.6	3.8	4.4	0.5	2.1	2.5	2.1	1.9	1.9	1.9	1.6	1.6	2.1	2.3	1.9	2.0	2.2	1.8
	(%)		-0.2	0.9	1.1	0.1	0.5	0.6	0.5	0.5	0.5	0.5	0.4	0.4						
Personal consumption	(%, a.r.)		0.6	2.5	3.5	1.9	0.5	2.7	1.9	1.8	1.7	1.7	1.5	1.5	2.6	1.9	1.8	2.1	1.7	2.0
Nonresidential fixed invest	(%, a.r.)		9.5	7.3	3.2	2.4	10.6	11.5	4.5	3.6	3.4	3.1	2.5	2.5	4.1	6.8	3.8	5.6	7.5	5.7
Residential fixed invest	(%, a.r.)		-1.0	-5.1	-7.1	-1.7	-7.8	2.7	3.2	3.0	2.8	2.8	2.5	2.5	-2.2	-2.5	2.8	-3.8	0.2	2.9
Government expenditure	(%, a.r.)		-1.0	-0.1	2.2	-5.6	4.4	2.4	0.9	0.9	0.9	0.9	0.9	0.9	1.1	0.9	1.0	-1.2	2.2	1.3
Exports	(%, a.r.)		0.2	-1.8	9.6	-3.2	10.9	11.7	2.3	2.3	2.3	2.3	2.2	2.1	1.6	5.7	2.8	1.1	6.7	4.5
Imports	(%, a.r.)		38.0	-29.3	-4.4	-1.0	11.8	17.0	3.5	3.3	2.8	2.5	2.3	2.0	2.7	3.5	3.6	-1.9	8.8	6.5
Contributions to GDP:																				
Final sales	(pp., a.r.)		-3.2	7.3	4.5	0.3	1.9	2.9	2.0	1.8	1.8	1.8	1.6	1.6	2.2	2.5	1.9	2.1	2.2	1.7
Net trade	(pp., a.r.)		-4.7	4.8	1.6	-0.2	-0.4	-0.9	-0.2	-0.2	-0.1	-0.1	-0.1	0.0	-0.2	0.1	-0.2	0.4	-0.4	-0.1
Inventories	(pp., a.r.)		2.6	-3.4	-0.1	0.1	0.2	-0.4	0.2	0.1	0.1	0.1	0.1	0.0	-0.1	-0.2	0.1	-0.1	0.0	0.1
	As noted																			
Unemployment rate	(%)		4.1	4.2	4.3	4.5	4.3	4.3	4.2	4.1	4.0	3.9	3.9	3.9	4.3	4.2	3.9			
Nonfarm payrolls	(000s)		20	34	23	-39	73	111	90	120	100	90	90	90	10	99	90			
Housing starts	(000s, a.r.)		1397	1356	1347	1323	1418	1347	1430	1420	1400	1390	1390	1380	1356	1404	1390			
Consumer prices	(%, y-o-y)		2.7	2.5	2.9	2.7	2.7	3.8	3.4	3.5	3.1	1.9	2.0	1.9	2.7	3.3	2.2			
Core CPI	(%, y-o-y)		3.1	2.8	3.1	2.7	2.5	2.7	2.4	2.6	2.6	2.4	2.5	2.4	2.9	2.6	2.5			
PCE Deflator	(%, y-o-y)		2.6	2.4	2.7	2.8	3.1	3.9	3.7	3.6	3.0	2.2	2.2	2.1	2.6	3.6	2.4			
Core PCE	(%, y-o-y)		2.8	2.7	2.9	2.9	3.1	3.4	3.3	3.2	2.8	2.6	2.5	2.4	2.8	3.3	2.6			
Federal budget	(% GDP)														-5.8	-6.4	-6.4			
Current account balance	(% GDP)														-3.7	-3.3	-3.1			
Fed securities portfolio	(\$trn)		6.32	6.24	6.19	6.15	6.27	6.34	6.42	6.48	6.54	6.60	6.66	6.72	6.15	6.48	6.72			
Fed funds target midpoint	(%)		4.375	4.375	4.125	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625			
TSY 2-year note	(%)		3.89	3.72	3.60	3.47	3.79	4.14	4.15	4.10	4.10	4.05	4.00	3.95	3.47	4.10	3.95			
TSY 5-year note	(%)		3.96	3.79	3.74	3.73	3.92	4.19	4.30	4.25	4.25	4.25	4.20	4.20	3.73	4.25	4.20			
TSY 10-year note	(%)		4.23	4.24	4.16	4.18	4.30	4.44	4.60	4.60	4.60	4.60	4.55	4.50	4.18	4.60	4.50			

Note: The unemployment rate is a quarterly average as a percentage of the labor force. Nonfarm payrolls are average monthly changes during the period. Inflation measures and calendar year GDP are year-over-year percent changes. The Fed securities portfolio is end-of-period. The annual interest rate forecasts are end-of-period. Housing starts are period averages. Numbers in bold are actual values. Table reflects data available as of 24 July 2026. All Nomura forecasts are modal

Source: BEA, BLS, Census Bureau, FRB, Haver, Nomura

Week in Review

Fig. 11: Weekly data tracker and its decomposition



Note: We estimate a latent factor that contributes the most to the total variance of 13 daily and weekly US indicators covering industrial and consumer sectors via principal component analysis (i.e., the first principal component). We calibrate this factor to track four-quarter changes in real GDP.

Source: AAR, Baker Hughes, DOL, EIA, EEI, MBA, PolicyUncertainty, Redbook Research, SF Fed, Haver Analytics, Nomura

First Insights - US: New tariff announcements point more to continuity than escalation

Policy Watch - July FOMC Preview

Fig. 12: Economic Data Calendar

	Mon 27 July	Tue 28 July	Wed 29 July	Thu 30 July	Fri 31 July
North America	US Durable goods orders (Jun-p) % m-o-m -4.5, 3.4, 1.5	US Adv. goods trade balance (Jun) \$bn -105.9, -104.5, -97.8	US FOMC rate decision (upper) (Jul) % 3.75, 3.75, 3.75	US Personal income (Jun) % m-o-m 0.7, 0.3, 0.3	US Employment cost index (Q2) %q-o-q 0.9, 0.7, 0.8
	US Durable goods orders ex-trans (Jun-p) % m-o-m 1.4, 0.8, 0.9	US Consumer confidence (Jul) Index 91.2, 90.5, 92.0	US FOMC rate decision (lower) (Jul) % 3.50, 3.50, 3.50	US Core PCE deflator (Jun) % m-o-m 0.3, 0.2, 0.1	US U of M consumer sent (Jul-f) Index 54.4, 54.0, n.a.
				US GDP (Q2-1st) %q-o-q ar 2.1, 2.5, 2.3	US U of M 5-10yr inf. exp. (Jul-f) % 3.3, n.a., n.a.
Europe (ex-UK)	ECB M3 money supply (Jun) % y-o-y 3.2, n.a., n.a.	FRA Consumer conf. (Jul) Index 84, 86, n.a.	ECB Wage Tracker	GER HICP (Jul P) % y-o-y 2.4, 2.7, n.a.	EUR HICP (Jul P) % y-o-y 2.8, 2.8, n.a.
	GER IFO Biz climate (Jul) Index 85.6, 86.1, n.a.			SPA HICP (Jul P) % y-o-y 3.6, 3.7, n.a.	EUR Core HICP (Jul P) % y-o-y 2.4, 2.6, n.a.
	GER IFO Current (Jul) Index 87.0, 87.2, n.a.			EUR GDP (2Q A) % q-o-q 0.0, 0.1, n.a.	FRA HICP (Jul P) % y-o-y 2.0, 2.0, n.a.
	GER IFO Expectations (Jul) Index 84.1, 85.0, n.a.			GER GDP (2Q P) % q-o-q 0.3, 0.1, n.a.	ITA HICP (Jul P) % y-o-y 3.0, 2.8, n.a.
United Kingdom	CBI Retailing Report (Jul) Index -54, n.a., n.a.	BRC Shop Price (Jul) % y-o-y 1.2, 0.6, n.a.	Mortgage Lending (Jun) GBP bn 2.9, 3.9, n.a.	BoE Bank Rate % 3.75, 3.75, n.a.	Lloyds Biz Barom (Jul) Index 44, n.a., n.a.
			Mortgage Approvals (Jun) k 56.2, 60.0, n.a.		
			Net Consumer Credit (Jun) GBP bn 1.7, 1.7, n.a.		
CEEMEA		S. Africa Leading Indicator (May) Index 118.9, n.a., n.a.		Hungary GDP (2Q P) %y-o-y 1.7, n.a., 1.8	Hungary PPI (Jun) %y-o-y -0.7, n.a., n.a.
				Czech R. GDP (2Q A) %y-o-y 2.2, n.a., n.a.	Türkiye Trade Balance (Jun) USDbn -5.6, -10.4, n.a.
				Türkiye Unemployment rate (Jun) % 8.2, n.a., n.a.	Poland CPI (Jul P) %y-o-y 2.5, n.a., n.a.
				S. Africa PPI (Jun) %y-o-y 7.8, n.a., n.a.	Türkiye Foreign tourist arrivals (Jun) %y-o-y -3.6, n.a., n.a.
				S. Africa Budget balance (Jun) ZARbn -14.6, n.a., n.a.	
Japan	SPPI (Jun) % y-o-y 3.3, n.a., n.a.			Consumer confidence index (Jul) Index 33.8, n.a., n.a.	BOJ policy meeting (30-31 Jul), BOJ governor's regular press conference
					Publication of Outlook Report (The Bank's View)
					Tokyo-area Core CPI (Jul) % y-o-y 1.6, 1.7, n.a.
Asia ex-Japan	Singapore MAS Monetary Policy Statement	India Industrial production (Jun) % y-o-y 5.1, 6.1, 5.9	Australia CPI (Jun) % y-o-y 4.0, 4.0, 4.0	Philippines Exports (Jun) % y-o-y 7.6, 6.8, 7.7	S. Korea Industrial production (Jun) % y-o-y -0.9, 5.8, 3.0
	Thailand Manufacturing production (Jun) % y-o-y -0.8, 0.3, 0.2				China Official manufacturing PMI (Jul) Index 50.3, 49.8, 50.0
	Singapore Industrial production (Jun) % y-o-y 13.0, 12.4, 9.1				Thailand Current account balance (Jun) USD bn -6.4, -4.8, n.a.
					Taiwan Advance Real GDP estimates (Q2) % y-o-y 14.5, 10.9, 10.2
					Hong Kong Advance Real GDP estimates (Q2) % y-o-y 5.9, 5.9, n.a.

Source: Bloomberg, Reuters, Nomura Global Economics.

Appendix A-1

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